

Executive Overview:

In FY2026, HDFC Bank achieved full balance-sheet optimization post-merger. Return on Assets (RoA) reached 1.95%. Digital onboarding accounted for 88% of all new accounts.

1. Credit Risk Management (FY2026):

Asset quality strengthened as Gross NPA declined to 1.22% in FY2026. Net NPA fell to 0.33%. Loan loss provisioning was increased by 15% to maintain a Provision Coverage Ratio (PCR) of 76.5%.

2. Liquidity and Market Risk (FY2026):

Liquidity Coverage Ratio (LCR) rebounded to an average of 118%. Net Interest Margin (NIM) stabilized at 3.40%. Capital Adequacy Ratio (CAR) stood at 16.5% with strong Tier 1 capital cushion.